# KYLE FOX

***Federal Tax Treatment:** Film Production Investments

ELITE RESOURCE TEAM

# FOX GLOBAL CAPITAL

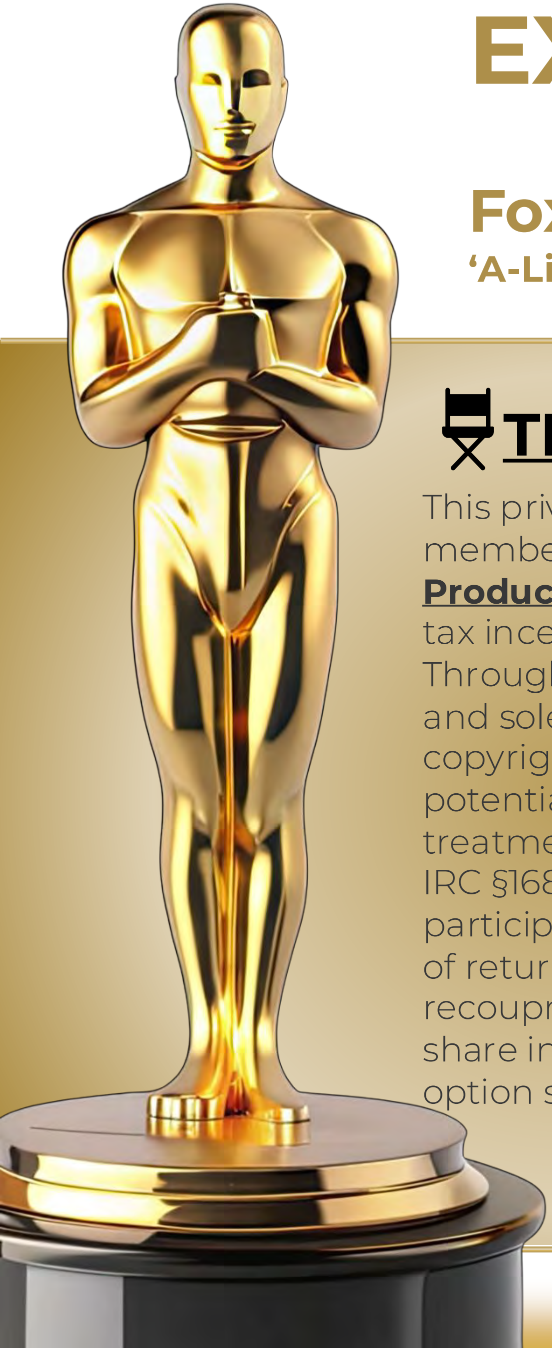
PRESENTS

## Federal Tax Treatment of Film Production Investments

JUNE 2026

# EXECUTIVE SUMMARY

## Fox Global Capital offers investing opportunities in premiere,
**'A-List' films with a novel strategy that provides risk mitigation, tax incentives, & long-term revenue.**



## THE OPPORTUNITY

This private placement allows the members to become **Executive Producers** and share in the profits and tax incentives of the film industry. Through a 20% cash budget funding and sole ownership of the film's copyrights, the members may potentially benefit from federal tax treatment available under IRC §181 and IRC §168, subject to basis, at-risk, and participation limitations with a waterfall of return events in the form of a recoupment of cash, a ≈10% revenue share in the film in perpetuity, and an option sell the film for maximum value.

*TAX RESULTS DEPEND ON INDIVIDUAL CIRCUMSTANCES AND APPLICABLE TAX LAW.

### NOVEL STRATEGY

Fox Global Capital combines a novel film acquisition and financing structure with extensive industry experience and tax knowledge to execute the strategy.

By creating an **exclusive** Movie Collection and Facilitation Company, we enable all levels of the high net-worth to be a passive investor or part-time producer (nonpassive participant) in feature films without requiring prior film experience. Tax treatment may differ depending upon passive versus material participation under IRC §469.

### EXECUTIVE PRODUCER INVOLVEMENT (OPTIONAL)

The Executive Producer will target films coming through the financing pipeline in which they can review and execute an acquisition of. Executive Producers will have access to the production sets to monitor their projects, to the sales and screening events to promote and enjoy their projects, and to the credits and public releases to be recognized on their projects.

### STRONG RETURNS

The venture targets a 100% preferred return of capital in under 3 years after the senior debt is extinguished. Thereafter, the fund is entitled a revenue share of every dollar the film make in perpetuity. Sales and waterfall modeling project that each film will achieve ≈115%-120% ROI separate from tax mitigation or deferment.

# TEAM EXPERIENCE & INDUSTRY CONNECTIONS

## CPA/Financiers

- Experienced CPA and facilitators of private placement offerings.
- Focuses on how clients can best use high-profiting alternative ventures like film within their current/proposed tax environment.
- Presided over $250M in movie productions with tax-preference attributes.

## Producers

- 70+ years of combined experience as industry-leading independent film producers
- Key connections with film talent, reps, and buyers
- Many feature films produced with a successful track record


Recent Film Returns

**MEET CUTE**

Starring Pete Davidson & Kaley Cuoco

**$4M**
Bonded Cost

**$20M+**
Sale (5X Multiple)

### Celebrity Connections and Project Partners Include...

- Bryan Cranston
- Lily Gladstone
- Kevin Bacon
- Bill Skarsgård
- Jim Parsons
- Al Pacino
- Milla Jovovich
- Rosario Dawson
- Jon Hamm
- Tina Fey
- Lucy Hale
- Melanie Lynskey
- Judy Greer
- Justin Long
- Ryan Phillippe
- Luis Guzmán
- Jeremy Irons
- Diane Keaton
- Lily Collins
- Simon Pegg
- Connie Nielsen
- Tye Sheridan
- Ana de Armas
- Helen Hunt
- John Leguizamo
- Daniel Radcliffe
- Snoop Dogg
- Paul Giamatti
- John Goodman
- Bella Thorne
- Sylvester Stallone
- Ralph Fiennes
- Helena Bonham Carter
- Faye Dunaway
- Scarlett Johansson
- Eva Mendes
- David Hasselhoff
- Arnold Schwarzenegger

# ACQUISITION CRITERIA

Our principals **receive substantial deal flow** due to this unique industry structure…

… and apply a rigorous acquisition criteria to any new projects.

- **80% of financing must already be in-place**
  Via presales, tax credits, bank debt, senior equity.
- **The recoupment is achieved when the film hits ≈ 80% of forecasted revenues**
  These forecasts are used in the underwriting of all financing partners and are highly evaluated for accuracy.
- Entertaining stories with clear target audience demographics.
- 'A-list' movie stars and experienced directors, producers, and filmmakers.
- Production insurance & completion bonds/guarantees.
- Projects are evaluated for economic substance and commercial viability prior to acquisition.

# FEDERAL TAX INCENTIVES FOR FILM PRODUCTION

The Benefits of Film Production

## ECONOMIC RETURN

## LED TO §181 BEING SIGNED INTO LAW (CURRENTLY SUNSET)

### ECONOMIC SUBSTANCE ✓
### ANTI-ABUSE RULES ✓

**$1** Spent → **$2** Or more realized by local economies

**Film productions have an enormous impact on local economies & job creation**

- Without our involvement, these jobs and trickle-down economic residuals would not occur.
- Our average budget film has a direct effect of employing hundreds of individuals and creates revenue for hotels, restaurants, logistic and transportation professionals, locations and equipment rentals, and the general community.

Driven by this economic impact,

**Pres. Bush & Gov. Schwarzenegger signed §181 into law in 2004,**

IRC §181 historically allowed qualifying film and television production costs to be expensed, subject to statutory limitations and sunset provisions.as **an expense** in the year incurred.

The purpose was to keep "runaway films" inside of the United States.

- Most states conform to Federal IRC §181 or have an alternate expense method.
- Many state and local governments took it even further and offer massive subsidies for productions to happen in their districts.

**IRC §168 permits bonus depreciation for certain capitalized film production costs when placed in service, subject to applicable percentage limitations and current law.**

# NEWSTAR FINANCING'S - MOVIE FUNDING PROCESS

**NEWSTAR FINANCING IS FOX GLOBAL CAPITAL'S PRIVATE FINANCING CONSOLIDATOR THAT PUTS TOGETHER THE CAPITAL NECESSARY TO FUND THE PICTURE.**

Film financing has unique and derisked opportunities for investors

### Tax Credits

Many states and municipalities subsidize the creation of films by offering substantial tax credits (up to 50% of the **total budget**). State film credits may be refundable, transferable, or nonrefundable depending on jurisdiction.

This allows for a secured component of the financing.

### Private Equity/Debt

Often, a component of private capital or institutional "gap" financing is present.

### Pre-Sales to Buyers & Distributors

- Territorial Rights to "show" the film are contracted before the film is produced.
- Promising films are typically pre-sold to buyers (Netflix, HBO, etc.) and/or international distributors **before they enter production.**

This allows for another secured component of the financing.

**80%**
of budget

### Executive Producer Acquire the Film & Funds the Remaining Capital Needed To Trigger Production

- Films **commonly** need a key, **closing** investment to complete the financing of the budget and move the film into production.
- These key investors are able to exert leverage – including ownership of the film's intellectual property in the form of the copyright.

**20%**
of budget

**NEWSTAR FINANCING**

**100%**
Film Funded

# EXECUTIVE PRODUCER RETURNS

## THE RECOUPMENT

The first revenue from the film is used to pay all senior capital. Initial cash investment by the Executive Producers is then recouped in a Junior position creating a 100% ROI before the waterfall enters net revenue sharing.

## THE PROFIT SHARE

After the recoupment event and any deferrals are paid, the film enters a profit share. This profit share is retained in perpetuity and is never diluted, even if the copyright is sold.

## REVENUE SHARE

Estimated revenue share after the 100% recoupment

**NET FILM REVENUE**

**50%**
Revenue Share
**PRODUCERS** & financiers

**50%**
Revenue Share
Creatives: Writers, Actors, Directors

**x**

**20%**
**Investment in the Budget**

**=**

**10% REVENUE SHARE IN PERPETUITY FOR THE EXECUTIVE PRODUCERS**



Disclosure: Revenue Shares agreements are made on a deal-by-deal basis and may be more or less than the above example.
Tax consequences of distributions may vary depending on basis, at-risk amounts, and partnership allocations.

# FEDERAL TAX TREATMENT OF FILM PRODUCTION INVESTMENTS

§181 is an expenditure of qualified film costs and not based on appraised values of intellectual property.
§168 is the immediate depreciation of capitalized film costs once the film is placed in service.

## $1,000,000 PRODUCTION EXAMPLE

Executive Producer acquire the film rights and fund the production using 20% cash and an 80% Recourse and At-Risk Note from NewStar Financing.

$200,000 Cash + $800,000 Note = $1,000,000 Deductible Basis

IRC §181/168 allows all costs to be immediately expensed
**≈ 5 : 1 – deduction : cash**
Tax deductions may exceed cash invested where basis and at-risk requirements are satisfied.

$1,000,000 deduction = ≈$400,000 in tax savings taxes

**Cash Recoupment – Film Sale Option - Loan Pay Off**

The Film is now completed and has achieved a high economic value. Interested parties desire to add more films to their collections and will buy the film at a premium. Income associated with the film sale may be classified as long-term capital gain income. There are alternative exits available at a partnership vote.

$200,000 cash return of capital used to pay tax on example FMV of $1,000,000

≈ 10 % Net Revenue Share in Perpetuity Remains with the Executive Producer

Disposition of film rights may generate capital gain or ordinary income depending on the nature of the asset, holding period, and transaction structure.



Disclosure: Any finders fees, commissions, loan referral fees or consultation fees will decrease the leverage opportunity. In quire for more information
Potential tax basis subject to contribution structure and applicable tax rules.

# ILLUSTRATIVE TAX AND REVENUE SCENARIOS

## SAMPLE ASSUMPTIONS FOR PROJECTIONS:

**$1M**
Budget

**$1.5M**
Projected Revenue

**40%**
Executive Producer has
40% FED & State Tax Rate

### "Target"
Film Earns $1.5M in Revenue

Net savings Yr1 = **+$200,000 (+50%)**

(Tax recoupment YR2+) = **-$0* (-0%)**

10% Revenue Share = **+$34,000 (+8.5%)**

**OUTCOME: 100% ROI YR1 – 117% ROI YR2+**

### "Blockbuster"
Film Earns 5X Projected Target

Net savings Yr1 = **+$200,000 (+50%)**

(Tax recoupment YR2+) = **-$0* (-0%)**

10% Revenue Share = **+$634,000 (+158.5%)**

**OUTCOME: 100% ROI YR1 – 417% ROI YR2+**

*If there is LTCG treatment against a film sale and the return of capital is achieved.
Examples are hypothetical and are not guarantees of tax results, deductions, or investment performance.

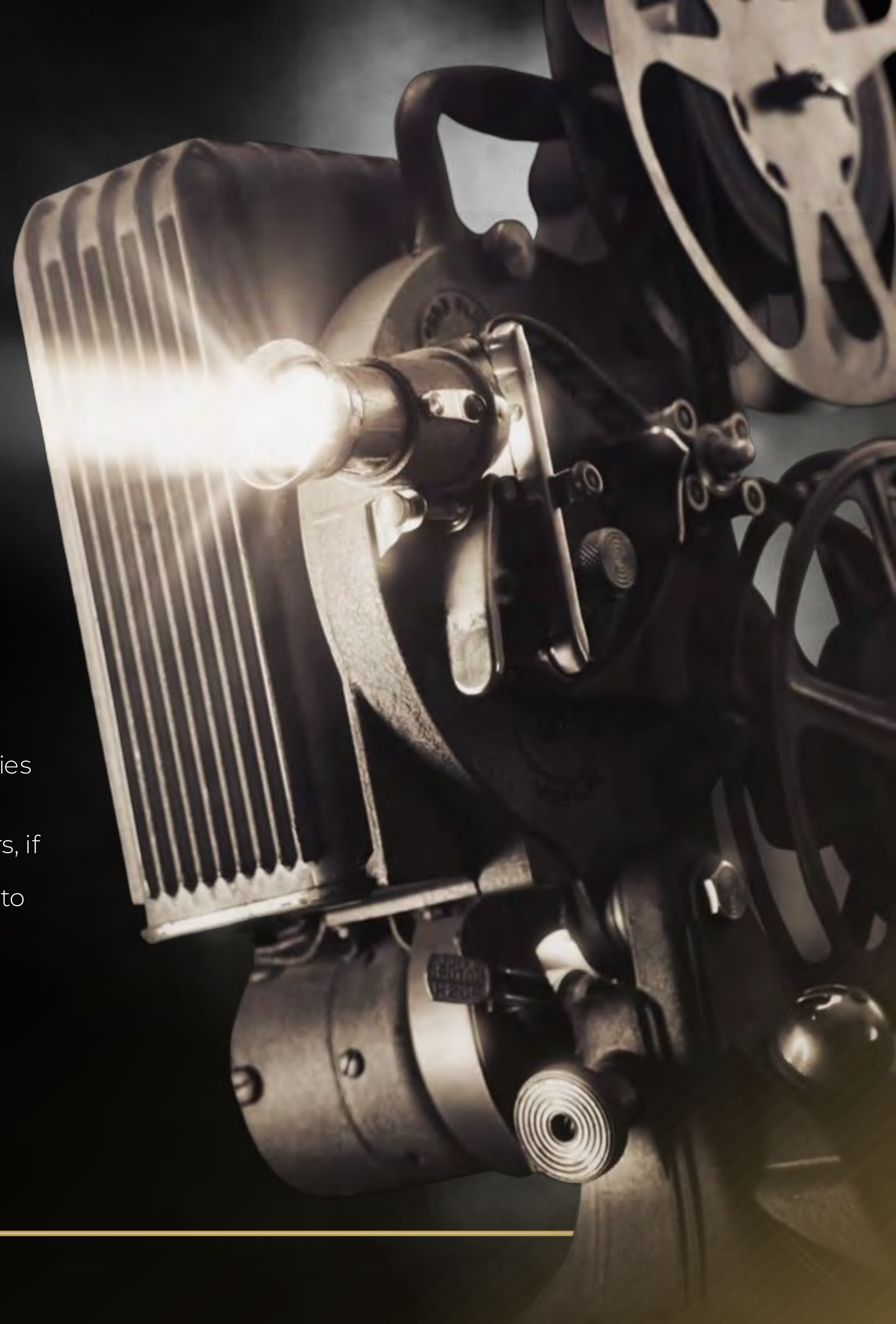
# FEDERAL TAX CONSIDERATIONS FOR FILM PRODUCTION INVESTMENTS

- IRC §181 treatment of qualified film production expenditures
- IRC §168 bonus depreciation treatment of film assets
- Basis limitations under IRC §704 and partnership tax rules
- At-risk limitations under IRC §465
- Passive activity considerations under IRC §469
- Economic substance doctrine under IRC §7701(o)
- State film tax credit considerations
- Capital gain considerations upon disposition of film rights

# TAX-ADVANTAGED & RISK-MITIGATED INVESTMENTS IN PREMIERE ‘A-LIST’ FILMS

## FROM SCRIPT TO PROFITS, FILM IS PRIVATE EQUITY’S NEXT BLOCKBUSTER INVESTMENT

Contact: ERT



Regulation D Disclosure
This offering is made in reliance on Regulation D of the Securities Act of 1933, Rule 506(b) or 506(c). The securities offered are not registered under the Securities Act and are offered pursuant to exemptions from registration.
Important Notices:
The securities are being offered only to accredited investors (or to a limited number of non-accredited investors, if applicable).
This offering is for investment purposes only and does not constitute an offer to sell or a solicitation of an offer to buy securities in any jurisdiction where such offer or solicitation is not authorized.
No federal or state securities commission has approved or disapproved these securities or passed upon the accuracy or adequacy of this disclosure.
An investor should rely solely on the information provided in the offering documents and conduct their own investigation before investing.